NOTE E - INCOME TAXES

The components of the Company's (benefit) provision for income taxes are as follows:

	June 30,		
	2002	2001	2000
Federal			
Current	$(2,737,000)	$5,853,000	$3,448,000
Deferred	225,000	(803,000)	(67,000)
	(2,512,000)	5,050,000	3,381,000
State	(256,000)	1,722,000	1,044,000
	$(2,768,000)	$6,772,000	$4,425,000

The Company's effective income tax rate differs from the statutory U.S. Federal income tax rate as a result of the following:

	June 30,		
	2002	2001	2000
Statutory Federal tax rate	(34.0)%	34.0%	34.0%
State income taxes, net of Federal tax benefit	(3.3)	6.7	5.5
Sales expense for which no tax benefit arises	0.8	1.0	0.9
Other	1.1	(1.0)	0.6
Effective tax rate	(35.4)%	40.7%	41.0%

NOTE E - INCOME TAXES (continued)

Deferred income tax assets and liabilities resulting from differences between accounting for financial statement purposes and tax purposes are summarized as follows:

	2002	2001
Deferred tax assets		
Net operating loss carryforwards	$ 424,000	$ 187,000
Allowance for bad debts	611,000	619,000
Inventory valuation	1,554,000	1,820,000
Deferred compensation	346,000	310,000
Unrealized loss on marketable securities available for sale	16,000	
Other deferred tax assets	331,000	364,000
	3,282,000	3,300,000
Deferred tax liabilities		
Depreciation	(758,000)	(594,000)
Unrealized gain on marketable securities available for sale		(34,000)
Other	(73,000)	(46,000)
Net deferred tax asset	$2,451,000	$2,626,000

At June 30, 2002, the Company, through an acquisition, has available a Federal net operating loss carryforward of approximately $313,000. Such net

operating loss is subject to certain limitations and expires in varying amounts during the fiscal years 2007 through 2010. In addition, the Company has current year net operating losses of approximately $6,600,000 that will be carried back for a two-year period for Federal tax refund purposes. Since most states do not permit loss carrybacks, the state effect of the current year loss is included in the deferred tax asset.